

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO S.B. 1764
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 42-11001, Arizona Revised Statutes, is amended
3 to read:

4 42-11001. Definitions

5 In THIS CHAPTER AND chapters ~~11~~ 12 through 19 of this title, unless
6 the context otherwise requires:

7 1. "Assessed valuation" means the value derived by applying the
8 applicable percentage prescribed by chapter 15, article 1 of this title to
9 the full cash value or limited property value of the property, as
10 applicable.

11 2. "Board" or "state board" means the state board of equalization.

12 3. "County board" means the county board of supervisors sitting as
13 the county board of equalization.

14 ~~4. "Current usage" means the use to which property is put at the~~
15 ~~time of valuation by the assessor or the department.~~

16 4. "CURRENT USE":

17 (a) MEANS THE PRIMARY USE OF THE PROPERTY AS OF THE DATE FOR WHICH
18 THE VALUATION IS DETERMINED AS SHOWN BY OBJECTIVELY VERIFIABLE AND
19 ECONOMICALLY SUBSTANTIVE CONDITIONS. [THE COUNTY ASSESSOR SHALL DETERMINE
20 A PROPERTY'S CURRENT USE FROM THE TOTALITY OF THE CIRCUMSTANCES, INCLUDING
21 THE PROPERTY'S OBJECTIVELY VERIFIABLE CHARACTERISTICS, INFORMATION AND
22 FUNCTIONS.]

23 (b) DOES NOT INCLUDE TEMPORARY, INCIDENTAL, NOMINAL OR
24 RELATED-PARTY ACTIVITIES OR ARRANGEMENTS BASED ONLY ON CONTRACTUAL OR
25 INTANGIBLE RIGHTS WITHOUT CORRESPONDING PHYSICAL USE OR LEGALLY
26 ENFORCEABLE RESTRICTIONS.

27 5. "Due date" means the next business day if a due date of any
28 report, claim, return, statement, payment, deposit, petition, notice or
29 other document or filing falls on Saturday, Sunday or a legal holiday.

1 6. "Full cash value"[:
2 (a)] MEANS: -
3 [(a)] [(i)] For property tax purposes, ~~means~~ the value determined as
4 prescribed by statute.
5 [(b)] [(ii)] If a statutory method is not prescribed, ~~full cash~~
6 ~~value is synonymous with~~ market value. ~~;~~ ~~which~~ FOR THE PURPOSES OF THIS
7 [SUBDIVISION] [PARAGRAPH], "MARKET VALUE" means the estimate of value that
8 is derived annually by using standard appraisal methods and
9 techniques. ~~Full cash value~~
10 [(b) Is the basis for assessing, fixing, determining and levying
11 primary and secondary property taxes on property described in section
12 42-13304. Full cash value shall not be greater than market value
13 regardless of the method prescribed to determine value for property tax
14 purposes.]
15 7. "Limited property value" means the value determined pursuant to
16 section 42-13301. Limited property value is the basis for:
17 (a) Computing levy limitations for counties, cities, towns and
18 community college districts.
19 (b) Assessing, fixing, determining and levying primary and
20 secondary property taxes on all property except property described in
21 section 42-13304.
22 ~~[8. "MARKET VALUE" MEANS THE ESTIMATE OF VALUE THAT IS DERIVED~~
23 ~~ANNUALLY BY USING STANDARD APPRAISAL METHODS AND TECHNIQUES.]~~
24 [8.] [9.] "Net assessed value" means the assessed value minus any
25 exempt property.
26 [9.] [10.] "Person" means a natural person, individual,
27 proprietor, proprietorship, company, corporation, organization,
28 association, joint venture, partner, partnership, trust, estate or limited
29 liability company, the federal or state government, a political
30 subdivision of a state or any other legal entity or combination of
31 entities that owns, controls or has possession of real or personal
32 property.
33 [10.] [11.] "Personal property" includes property of every kind,
34 both tangible and intangible, that is not included as real estate.
35 [11.] [12.] "Primary property taxes" means all ad valorem taxes
36 except for secondary property taxes.
37 [12.] [13.] "Producing mine" or "mining claim" means a mine or
38 mining claim from which coal or any other mineral or mineral substance,
39 except for clay, sand, gravel, building stone or a mineral or mineral
40 substance that is normally processed into artificial stone, has been
41 extracted for commercial purposes at any time during a period of one year
42 before the first Monday in January of the valuation year.
43 [13.] [14.] "Real estate" includes the ownership of, claim to,
44 possession of or right of possession to lands or patented mines.
45 [14.] [15.] "Residential treatment and education facility" means
46 any residential facility that is subject to title 15, chapter 10,
47 article 6.

1 [15.] ~~[16.]~~ "Roll" means the assessment and tax roll.

2 [16.] ~~[17.]~~ "Secondary property taxes" means:

3 (a) Ad valorem taxes or special property assessments that are used
4 to pay the principal of and the interest and redemption charges on bonded
5 indebtedness or other lawful long-term obligations that are issued or
6 incurred for a specific capital purpose by a municipality, county or
7 taxing district.

8 (b) Ad valorem taxes or assessments that are levied by or for
9 special taxing districts and assessment districts other than school
10 districts and community college districts.

11 (c) Amounts that are levied pursuant to an election to exceed a
12 budget, expenditure or tax limitation.

13 [17.] ~~[18.]~~ "Tax year" for all property means the calendar year in
14 which the taxes are levied.

15 [18.] ~~[19.]~~ "Valuation" means the full cash value or limited
16 property value that is determined for real or personal property, as
17 applicable.

18 [19.] ~~[20.]~~ "Valuation date", for the purposes of real property and
19 property valued by the department: ~~;~~

20 (a) Means January 1 of the year preceding the year in which taxes
21 are levied.

22 (b) INCLUDES ANY DATE REQUIRED FOR DETERMINING THE VALUE OF A
23 PROPERTY IN A SUPPLEMENTAL NOTICE PROVIDED UNDER SECTION 42-15105[~~, ANY~~
24 ~~DATE REQUIRED FOR AN ERROR CORRECTION UNDER SECTION 42-16253 OR ANY OTHER~~
25 ~~VALUATION PROCESS AUTHORIZED BY THIS CHAPTER AND CHAPTERS 12 THROUGH 19 OF~~
26 ~~THIS TITLE]~~.

27 [20.] ~~[21.]~~ "Valuation year" means:

28 (a) For real property and property valued by the department, the
29 calendar year preceding the year in which the taxes are levied.

30 (b) For personal property, the calendar year in which the taxes are
31 levied.

32 ~~<<Sec. 2. Title 42, chapter 11, article 1, Arizona Revised~~
33 ~~Statutes, is amended by adding section 42-11010, to read:~~

34 ~~42-11010. Full cash value~~

35 ~~A. FULL CASH VALUE IS THE BASIS FOR ASSESSING, FIXING, DETERMINING~~
36 ~~AND LEVYING PRIMARY AND SECONDARY PROPERTY TAXES ON PROPERTY DESCRIBED IN~~
37 ~~SECTION 42-13304.~~

38 ~~B. FULL CASH VALUE MAY NOT BE GREATER THAN MARKET VALUE REGARDLESS~~
39 ~~OF THE METHOD PRESCRIBED TO DETERMINE VALUE FOR PROPERTY TAX PURPOSES.~~

40 ~~C. FULL CASH VALUE SHALL BE DETERMINED BASED ON THE FEE SIMPLE~~
41 ~~INTEREST IN THE PROPERTY, ASSUMING UNENCUMBERED OWNERSHIP, UNLESS A~~
42 ~~DIFFERENT VALUATION INTEREST IS EXPRESSLY REQUIRED BY STATUTE.~~

43 ~~D. THE COUNTY ASSESSOR SHALL:~~

44 ~~1. DETERMINE A PROPERTY'S CURRENT USE FROM THE TOTALITY OF THE~~
45 ~~CIRCUMSTANCES, INCLUDING THE PROPERTY'S OBJECTIVELY VERIFIABLE~~
46 ~~CHARACTERISTICS, INFORMATION AND FUNCTIONS.~~

1 ~~2. IDENTIFY A PROPERTY'S CURRENT USE BY, AND LIMIT IDENTIFICATION~~
2 ~~TO, THE GENERAL CATEGORIES OF AGRICULTURAL USE, RESIDENTIAL USE OR VACANT~~
3 ~~LAND AND THE SUBCATEGORIES OF THOSE USES AS DETERMINED BY THE COUNTY~~
4 ~~ASSESSOR.~~
5 ~~E. IF A PROPERTY IS SUBJECT TO A STATUTORY VALUATION METHOD OR IS~~
6 ~~USED FOR RESIDENTIAL PURPOSES, A PROPERTY'S CURRENT USE SHALL BE~~
7 ~~DETERMINED WITHOUT REGARD TO ZONING, POTENTIAL FUTURE USE OR SPECULATIVE~~
8 ~~MARKET INFLUENCES.~~
9 ~~F. FOR PROPERTY THAT IS NOT SUBJECT TO A STATUTORY VALUATION METHOD~~
10 ~~AND THAT IS NOT USED FOR RESIDENTIAL PURPOSES, THE COUNTY ASSESSOR MAY~~
11 ~~CONSIDER MARKET INFLUENCES THAT ARE CONSISTENT WITH THE PROPERTY'S CURRENT~~
12 ~~USE CLASSIFICATION AND APPLICABLE APPRAISAL STANDARDS.>>~~

13 Enroll and engross to conform
14 Amend title to conform

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